Fieldstone Resources Holdings, Inc. (JFG) - Form 10-K

FY2024

Fieldstone Resources Holdings, Inc.

Form 10-K for the Fiscal Year Ended 2024

Ticker: JFG | Sector: Industrials | HQ: Minnesota

> **NOTE:** This is a synthetic filing generated for a RAG-evaluation benchmark dataset. Fieldstone Resources Holdings, Inc. is a fictional company; it does not exist. Every figure below is internally consistent and traceable to this project's computed financial statements, but nothing here describes a real company, and it should not be treated as an actual SEC filing.

Item 1. Business

Introduction

Fieldstone Resources Holdings, Inc. ("Fieldstone," "we," "our," or "us") is a distributor of industrial and maintenance, repair, and operations ("MRO") products, headquartered in Minnesota. We sell fasteners, safety supplies, cutting tools, and other industrial and construction supplies to commercial, industrial, and construction customers, primarily through a direct sales and in-plant vending model rather than traditional retail storefronts. For the fiscal year ended December 31, 2024, we generated net sales of $5,668.4 million.

Our Business Model

Our business is built around embedding our sales and inventory-management personnel directly at customer sites, where we manage on-site inventory programs and vending solutions that are designed to reduce our customers' total cost of procurement. We believe this close, service-intensive relationship with customers differentiates us from distributors that compete primarily on price and catalog breadth.

Products and Suppliers

We distribute products sourced from a broad base of suppliers, supplemented by a portion of private-label and proprietary products. Maintaining broad product availability requires us to carry significant inventory; inventory represented approximately 37.8% of our total assets as of December 31, 2024.

Human Capital Resources

We employ a workforce consisting of sales and service personnel embedded at or near customer locations, supported by distribution center and corporate personnel. We do not have any collective bargaining agreements covering a material portion of our U.S. workforce and believe our employee relations are good. We focus on retention through structured training and internal advancement from entry-level sales roles into district and regional leadership.

Competition

The industrial and MRO distribution market is highly fragmented and competitive. We compete with other industrial distributors, manufacturers that sell directly to end customers, and online marketplaces. We believe the principal competitive factors in our markets are on-site service quality, product availability, and total cost of procurement rather than unit price alone.

Item 1A. Risk Factors

Risks Related to Our Business and Industry

A significant portion of our revenue depends on commercial, industrial, and construction end markets that are sensitive to broader economic cycles. A sustained downturn in industrial production, construction activity, or capital spending by our customers could reduce demand for our products and adversely affect our sales and profitability.

We depend on our ability to maintain sufficient inventory availability to support our on-site and vending customer programs. Inventory represented approximately 37.8% of our total assets as of December 31, 2024. A failure to accurately forecast demand, or a disruption affecting our suppliers or distribution network, could result in lost sales or, alternatively, excess or obsolete inventory.

We face intense competition from other industrial distributors, manufacturers selling directly to end customers, and online marketplaces. Continued growth in online industrial procurement could pressure our margins or require additional investment in our own digital and vending capabilities.

Our business model depends on our sales and service personnel who are embedded at or near customer sites. Our ability to attract, train, and retain this distributed workforce is important to maintaining the service quality that differentiates our offering; increased competition for this talent, or higher turnover, could adversely affect customer relationships and sales.

Risks Related to Our Financial Position

We have a modest amount of indebtedness, and while our capital structure is conservative relative to many industrial companies, our continued ability to fund working capital, capital expenditures, and shareholder distributions depends on our ability to generate cash flow from operations and maintain access to credit on acceptable terms if needed.

Risks Related to Cybersecurity and Information Technology

Our business depends on information technology systems that support our sales, inventory-management, and vending operations across a large number of customer sites. As described in Item 1C, “Cybersecurity,” while we have not experienced a material cybersecurity incident to date, a future incident affecting our systems or those of our third-party service providers could disrupt our operations, compromise customer or employee data, and result in remediation costs, litigation, or reputational harm.

General Risk Factors

Our results depend in part on the pricing and availability of the products we distribute, including the impact of tariffs, raw material cost inflation, and supplier concentration, any of which could increase our costs or disrupt our supply chain if not effectively managed or passed through to customers.

Item 1C. Cybersecurity

Cybersecurity Program

We maintain a cybersecurity risk management program informed by the NIST Cybersecurity Framework, designed to identify, assess, and manage risks from cybersecurity threats to our information systems and the data we process, including data related to our on-site inventory and vending programs at customer locations.

Our program includes continuous monitoring of our information technology environment, periodic vulnerability assessments and penetration testing, employee security-awareness training, and a formal incident response plan that sets out procedures for identifying, containing, and remediating cybersecurity incidents. Because a portion of our operations depends on third-party service providers and vending hardware deployed at customer sites, our vendor management process includes an assessment of those providers' security practices.

Cybersecurity Risks

We have not experienced a material cybersecurity incident to date. A future incident affecting our systems, our vending hardware deployed at customer sites, or those of our third-party service providers could disrupt our operations, compromise sensitive data, and result in remediation costs, litigation, or reputational harm. See Item 1A, "Risk Factors," for additional discussion of cybersecurity-related risks.

Governance

Our full Board of Directors, with support from the Audit Committee, oversees our cybersecurity risk management program. Management provides the Board and the Audit Committee with periodic updates on our cybersecurity program, including the results of risk assessments and the status of our security initiatives.

Item 7. Management's Discussion and Analysis of Financial Condition and Results of Operations

Overview

Fieldstone Resources Holdings, Inc. is a distributor of industrial and maintenance, repair, and operations products. For the fiscal year ended December 31, 2024, we generated net sales of $5,668.4 million, operating income of $998.5 million (an operating margin of 17.6%), and net income of $795.0 million (a net margin of 14.0%).

Results of Operations

The following table summarizes our results of operations for the fiscal year ended December 31, 2024 (in millions, except percentages; amounts may not sum due to rounding):

Line item	Amount	% of total
Net sales	$5,668.4	100.0%
Cost of sales	3,149.6	55.6%
Gross profit	2,518.8	44.4%
Selling, general and administrative expenses	1,519.2	26.8%
Other operating items, net	1.0	0.0%
Operating income	998.5	17.6%
Income tax expense	203.5	3.6%
Net income	795.0	14.0%

Our gross margin of 44.4% reflects the mix of products we distribute and our ability to manage supplier cost and customer pricing. Selling, general and administrative expenses, which include the cost of our embedded sales and service workforce, represented 26.8% of net sales. Our effective tax rate for the year was 20.4%, modestly below the 21% U.S. federal statutory rate.

Liquidity and Capital Resources

We generated $865.0 million of cash from operating activities during 2024, reflecting net income of $795.0 million and depreciation and amortization of $119.9 million, partly offset by changes in working capital. We used $162.0 million of cash in investing activities, primarily capital expenditures. Financing activities used $608.3 million of cash, primarily reflecting $770.7 million of dividends paid to shareholders, partly offset by other financing inflows. Taken together, our cash and cash equivalents increased by $94.7 million during the year.

As of December 31, 2024, we had total debt of approximately $165.3 million and stockholders' equity of $2,911.9 million. We believe our cash flow from operations, together with access to credit on acceptable terms if needed, will be sufficient to fund our operating needs, capital expenditures, and dividends for at least the next twelve months.

Critical Accounting Estimates

Inventory. Inventory, which represented approximately 37.8% of our total assets as of December 31, 2024, is stated at the lower of cost or market. We make estimates regarding excess or obsolete inventory based on historical experience and current market conditions; actual results could differ from these estimates.

Revenue Recognition. We recognize revenue when control of products transfers to the customer, generally upon delivery. For vending and on-site inventory programs, determining the timing of control transfer can require judgment regarding the terms of individual customer arrangements.

Recent Accounting Pronouncements

See the notes to our consolidated financial statements in Item 8 for a discussion of recently issued accounting pronouncements and their expected effect on our consolidated financial statements.

Item 8. Financial Statements and Supplementary Data

Report of Management

The accompanying consolidated financial statements present the financial position, results of operations, and cash flows of Fieldstone Resources Holdings, Inc. for the fiscal year ended December 31, 2024. All dollar amounts below tie directly to the figures in this filing's underlying financial data and are presented in millions, except per-share data, unless otherwise noted; amounts may not sum exactly due to rounding.

Consolidated Balance Sheet (in millions)

Assets

Line item	Amount
Cash and cash equivalents	$218.9
Accounts receivable, net	829.7
Inventory	1,524.5
Property, plant and equipment, net	980.6
Other assets	484.3
Total assets	$4,038.1

Liabilities

Line item	Amount
Accounts payable	$219.7
Accrued liabilities	192.5
Short-term debt	65.4
Long-term debt	99.9
Other liabilities	548.7
Total liabilities	$1,126.1

Stockholders' Equity

Line item	Amount
Additional paid-in capital	$79.1
Retained earnings	3,034.3
Accumulated other comprehensive loss	(71.8)
Other equity	(129.6)
Total stockholders' equity	$2,911.9

Line item	Amount
Total liabilities and stockholders' equity	$4,038.1

Consolidated Statement of Income (in millions)

Line item	Amount
Net sales	$5,668.4
Cost of sales	3,149.6
Selling, general and administrative expenses	1,519.2

Line item	Amount
Other operating items, net	1.0
Operating income	998.5
Interest expense	—
Income before income taxes	998.5
Income tax expense	203.5
Net income	$795.0

Consolidated Statement of Cash Flows (in millions)

Operating activities:

Line item	Amount
Net income	$795.0
Depreciation and amortization	119.9
Changes in working capital and other	(50.0)
Cash from operating activities	865.0

Investing activities:

Line item	Amount
Capital expenditures	(160.5)
Other investing activities	(1.4)
Cash used in investing activities	(162.0)

Financing activities:

Line item	Amount
Dividends paid	(770.7)
Other financing activities	162.4
Cash used in financing activities	(608.3)

Line item	Amount
Net increase in cash	$94.7

Notes to Consolidated Financial Statements

Note 1. Inventory Inventory, stated at the lower of cost or market, totaled $1,524.5 million as of December 31, 2024, representing approximately 37.8% of total assets.

Note 2. Debt Total debt outstanding as of December 31, 2024 consisted of $65.4 million of short-term debt and $99.9 million of long-term debt.

Note 3. Income Taxes Our effective tax rate for fiscal 2024 was 20.4%, modestly below the 21% U.S. federal statutory rate.

Note 4. Commitments and Contingencies We are subject to various claims and legal proceedings arising in the ordinary course of business. We do not believe the resolution of these matters, individually or in the aggregate, will have a material adverse effect on our consolidated financial position or results of operations.